

SIMULATED / PRE-LAUNCH : NO FUNDS, NOT AN OFFER

THE PIT

Long or short the memes nobody else will list. Up to 15x leverage on Robinhood Chain. Isolated margin. Liquidations you can see coming.

Leveraged perpetuals for memecoins, built so manipulation loses money: every market's total payout is capped below the cost of moving its oracle.

THE ONE-LINE THESIS

The house pays out less than it costs to rob the house.

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Abstract	01	Points and the Casino Layer	08
The Problem	02	The \$PIT Token	09
Protocol Overview	03	Security and Audits	10
The Safety Architecture	04	Risk Disclosures	11
The Trade Lifecycle	05	Roadmap	12
The PLP Vault: Be the House	06	Closing	13
Fees	07		

SECTION 01

ABSTRACT

THE PIT is a leveraged perpetual futures exchange for memecoins in which a single liquidity vault is the house, execution happens at the oracle price, and the maximum amount any market can ever pay out is capped below what it would cost an attacker to move that market's price.

That last clause is the entire thesis. Every major perp venue drained in the last four years (Drift, roughly \$285M; Mango, roughly \$110M; the JELLY squeeze on Hyperliquid's HLP vault) died because the value extractable from the protocol exceeded the cost of manipulating a thin asset's price. THE PIT inverts that inequality at the contract level and enforces it as an invariant: per market, the sum of all capped payouts is bounded by a live, manipulation-resistant estimate of the cost to move the price, divided by a safety factor. Manipulation is negative expected value by construction, not by supervision.

Around that core sits a complete venue: mcap-tiered leverage up to 15x, isolated margin with visible liquidation prices and add-margin warnings, skew-based funding, volatility-priced convexity (charged at open and while holding, so the straddle harvest is not free), a liquidation waterfall backed by an insurance fund and bounded auto-deleveraging, an ERC-4626 LP vault (PLP) earning real protocol revenue, a provably fair points-and-jackpot casino layer, and a fixed-supply token (\$PIT) whose supply only decreases through revenue-funded buyback-and-burn.

MAX LEVERAGE

15x

mcap-tiered, locked at listing

PAYOUT CAP

9x

margin, per position

TESTS GREEN

732

TDD, fuzz, invariants, wei-exact conservation

ADMIN PRICE PATH

none

audited router invariant

THE PROBLEM: MEMECOIN PERPS DO NOT EXIST SAFELY

Memecoins are the most traded, most volatile, most demanded asset class in crypto, and almost no venue offers leverage on them. This is not an oversight. It is a graveyard.

2.1 The graveyard, incident by incident

Drift, April 2026, roughly \$285M. An attacker minted a fake token, seeded a Raydium pool with about \$500, wash-traded it until on-chain oracles reported it as legitimate, then used a compromised admin key (with no timelock in the way) to list it as collateral and drain the protocol in under twelve minutes. Drift had passed two independent audits. Root causes: oracle sourcing that prices a token off minimal liquidity, insufficient listing verification, and no timelocks between an admin key and catastrophe.

Mango Markets, October 2022, roughly \$110M. The attacker took large leveraged MNGO positions, then spot-bought MNGO on the thin venues feeding Mango's oracle, spiking it roughly 13x in half an hour, and borrowed \$110M of real assets against the paper gains. Root cause: value keyed to a spot oracle an attacker could move cheaply. Legal footnote: the attacker's convictions were later vacated, so "manipulation is illegal" is not a reliable control. The protocol must make manipulation unprofitable, not merely prosecutable.

JELLY on Hyperliquid, March 2025, roughly \$12M to \$13.5M of vault damage. One actor opened offsetting positions across fresh accounts, deliberately over-leveraged the short, withdrew margin to force his own liquidation, dumped the toxic short into the HLP vault, then pumped JELLY spot roughly 400%. The vault inherited a position that was marked against it by a manipulable price. Hyperliquid's validators resolved it by force-settling every position at a discretionary price, an intervention its own community compared to a centralized exchange pulling levers.

GMX v1, July 2025, roughly \$42M. A reentrancy path desynced internal position aggregates from reality and let the attacker redeem inflated LP shares. Root cause: a callback allowed to re-enter pricing and accounting mid-update.

2.2 The pattern

Three structural failures recur across every drain:

1. **Thin-asset oracle manipulation.** The settlement price could be moved for less than the protocol would pay out against the move.
2. **Weak listing gates.** Fake or unseasoned tokens with attacker-owned liquidity reached the risk engine.
3. **Unbounded LP exposure.** A shared vault or insurance fund could inherit or absorb an unbounded loss, with no per-market ceiling connecting exposure to manipulation cost.

Plus one operational failure: admin keys with no timelock (Drift), which converts one key compromise into total loss.

No venue that survived offers deep memecoin leverage, and the venues that tried are the graveyard. The market that wants this product most is the market it is hardest to serve safely. That is the opportunity, and it is only an opportunity for a protocol designed from the first line of code around the failure pattern above.

SECTION 03

PROTOCOL OVERVIEW

THE PIT is a GMX-v2-style oracle-execution perpetuals engine:

- **No orderbook, no spread, no market makers.** Every trade executes against the LP vault at the oracle mark. The already audited OracleRouter is literally the matching engine's price.
- **The LP vault (PLP) is the house.** Depositors supply USDG, mint ERC-4626 shares, and act as the automated counterparty to all net open interest. The vault is paid real protocol revenue for the risk it carries (Section 7).
- **Isolated margin, one position per side per market.** Maximum loss on any position is its own margin, always.
- **Mcap-tiered leverage, locked at listing.** Leverage caps scale with market capitalization so thin coins never carry big multiples (current parameters):

MARKET CAP TIER	MAX LEVERAGE
Under \$500K	4x
\$500K to \$2M	6x
\$2M to \$5M	6x
\$5M to \$10M	8x
\$10M to \$50M	10x
Over \$50M	15x

CAPPED PAYOUT

Every position's maximum profit is capped at **9x its margin** (current parameter, following the Gains Network precedent of a 900% PnL cap on a vault-as-counterparty design). The ticket shows it plainly: win up to 9x your margin, lose at most the margin itself.

- **Skew-based funding.** Because execution is at the oracle, a mark-versus-index premium cannot exist by construction, so funding is driven by open-interest skew (the GMX v2 model), not by a manipulable premium.
- **Collateral is USDG only.** No exotic collateral, no borrowing against unrealized gains, no cross-margin contagion. The entire Mango attack class has no first step here.
- **Provably fair casino layer.** Trading fees mint Pit Points; points feed VRF-verified spins, a jackpot, and seasonal leaderboards (Section 8).

Because tokens are synthetic (no base token is ever held), THE PIT can list what spot DEXs on the chain cannot safely support at leverage, subject to the listing gate in Section 4.

SECTION 04

THE SAFETY ARCHITECTURE

This is the moat. Each layer below is independently sufficient to stop at least one historical drain; together they are defense in depth against the entire graveyard taxonomy.

4.1 The multi-oracle stack

The mark price is the OracleRouter, a tiered oracle already shipped and audited in production:

- **Majors (Tier A):** the median of at least three fresh, mutually agreeing independent sources (Chainlink feeds, Pyth, and TWAP cross-checks). A pairwise deviation guard (300 bps for majors) rejects any print where sources disagree.
- **Memecoins (deep and mid tiers):** an aggregated multi-pool geometric-mean TWAP. Pricing off multiple pools with time-averaging means an attacker must move real liquidity across venues over time, not flash a single pool for one block. The pairwise deviation guard runs here too (2500 bps band, tuned for memecoin volatility).
- **Single-thin-pool tokens (Tier D): never listed for leverage.** Full stop. The Drift attack began with a \$500 pool; that pool cannot become a market here.

4.2 The deviation breaker: manipulation pauses the guns

A spot-versus-TWAP deviation breaker guards every market. When spot diverges from the settlement TWAP beyond the per-token band, the market enters a protective state with a precise per-action gating matrix:

ACTION	DURING MANIPULATION OR DISLOCATION
Open or increase	Blocked (never enter at a manipulated price)
Close or reduce	Allowed on a live or fallback print (de-risking always available)
Add margin	Always allowed (strictly de-risking)
Liquidation	Paused
Funding accrual	Frozen for the affected interval

The liquidation pause is the anti-JELLY, anti-Drift property: an attacker who pumps a memecoin's spot price trips the breaker, and the liquidations that would hand the vault a toxic position at a manipulated price simply cannot execute. When sources re-agree, or the fallback state machine self-heals (bounded at three cooldown rounds, roughly 90 minutes), positions settle at an honest price.

The honest cost of this design: during a genuine violent crash, liquidations can halt briefly, creating bounded gap risk. That gap risk is quantified and paid for by uplifted maintenance margins on pool-priced tokens, per-market reserve caps, and the insurance fund. THE PIT deliberately accepts bounded gap risk on real crashes in exchange for immunity to forced liquidation by manipulation, which is the trade every drained venue got backwards.

4.3 Cost-to-move: the bounded-payout invariant

The OracleRouter continuously measures each memecoin market's cost to move: how much capital it would take to shift the aggregated price, computed from time-averaged in-range depth (deliberately resistant to just-in-time liquidity games; an attacker cannot flash-deposit liquidity to inflate the measurement inside one transaction). From it, the engine enforces THE inequality of the design. Per market:

```
sum of all open positions' capped payouts <= marketReserveCap

marketReserveCap = min( costToMove / safetyFactor , 10% of vault TVL )
```

(Current parameters: safety factor 5 to 10 per tier; 10% of TVL per market; the cost-to-move leg is snapshotted at listing so a later liquidity shift can never retroactively move the cap under open positions.)

Read it as an attacker: the absolute maximum the vault can pay out on a market, across every position combined, is a fraction of what it costs to move that market's price. Pump the coin 400% and the manipulation spend exceeds the theoretical maximum extraction by a multiple. This is the exact quantitative property whose absence killed Drift and Mango and squeezed HLP, expressed as a contract invariant rather than a dashboard alert. Majors, priced by independent Chainlink-anchored feeds that on-chain capital cannot move, are bounded by the TVL-percentage leg alone.

4.4 The listing gate

`isListable` is code, not policy:

- Majors require at least one genuinely independent price source.
- Memecoins require a liquidity depth floor, pool seasoning (age), source cardinality, and pool-coverage cross-checks, with the spot-versus-TWAP breaker verified armed before the market can trade.
- Single-thin-pool tokens are rejected unconditionally.
- Fresh markets ramp capacity slowly (current parameters: 1% of TVL per day over 14 days) so a new listing cannot reach full size until it has real price history and external arbitrage.

4.5 No admin price path, and timelocks on everything

There is no code path by which any admin writes a price; this is an audited router invariant. Every sensitive setter (listings, sources, risk parameters, insurance fund withdrawal) sits behind a 2-day TimelockController, with a separately constrained PauseGuardian for bounded emergencies (auto-expiring pauses, hard cooldowns). The Drift attack required an admin key that could act instantly; that key does not exist here.

4.6 Structural immunities, stated precisely

- **Mango class (borrow against marked-up collateral): structurally immune.** There is no borrowing, USDG is the only collateral, unrealized PnL is never withdrawable or usable as collateral, and realized profit is capped and reserve-bounded.
- **JELLY class (self-liquidation dumps a toxic position into the vault): blocked on four independent axes.** Margin withdrawal can never cross the initial-margin line, so a trader cannot walk his own position into liquidation (the exact JELLY mechanism); the breaker pauses liquidation during the pump; the payout invariant makes the pump negative-EV even if a print survived the bands; and skew funding continuously taxes the one-sided open interest an attacker must hold.
- **GMX v1 class (reentrancy desync): mitigated and test-enforced.** Strict checks-effects-interactions, nonReentrant on every fund-touching function, hookless collateral, and a dedicated invariant harness asserting aggregates equal the sum of positions after every fuzzed sequence.
- **Aster class (extreme-leverage cascade): mitigated.** Leverage tops out at 15x on majors only, 4x to 8x on thin coins; isolated margin prevents account-level contagion; the breaker halts liquidation during dislocated prints, cutting the cascade feedback loop.

THE TRADE LIFECYCLE

5.1 Opening a position

A trader picks a market, a side, margin (USDG), and leverage up to the tier cap. The engine verifies the market is live and unpaused, the oracle print is live and agreeing, the opening breaker allows entry, and every cap (per-position, per-address, per-market reserve, global utilization) holds after the open. The open fee (Section 7.2) is charged on notional; Pit Points mint on the fee paid. The position's maximum payout (9x margin at current parameters) is reserved in the vault at that moment: the money that could be won is provably set aside before the position exists.

5.2 Margin management: liquidations you can see coming

Isolated margin makes the liquidation price a closed-form number, displayed on the ticket and recomputed live as funding accrues. The interface warns at 50% and 75% of the distance to liquidation, each warning wired to a one-tap add-margin action. Adding margin is allowed in every market state, including during pauses and breaker events, because de-risking is never the thing a safe protocol blocks. Margin withdrawal is bounded by the initial-margin floor, the anti-JELLY rule: no position can be walked into liquidation by its own owner.

5.3 Funding and borrow

Funding is skew-based, accrued continuously via a per-market index:

```
fundingRate per hour = clamp( kF * skew , within +-capF )
skew = (longOI minus shortOI) / max(totalOI, floor)
```

The heavier side pays, the lighter side receives, and the residual on the net imbalance accrues to the vault, which is exactly the party carrying the net exposure. Current parameters: at 100% skew, 0.25% per hour on memecoins (about 6% per day, making a held one-sided manipulation position bleed materially) and 0.05% per hour on majors.

On top of funding sits the **volatility-scaled borrow fee**, paid by both sides in proportion to reserved capacity. It is the holding-time half of the convexity pricing in Section 6.3: the rate scales with recent realized volatility, so holding capped-payout optionality through a volatile regime costs what the optionality is worth, and capacity squatting costs something even at zero skew. Funding accrual freezes during non-live prints so skew cannot be repriced mid-manipulation.

5.4 The liquidation waterfall

Liquidation is permissionless (anyone can be the keeper) and requires a live, agreeing print with the opening breaker clear:

1. Equity is recomputed at the fresh mark; the position must be below maintenance margin (current parameters: the Hyperliquid-style half-of-initial rule for majors, uplifted 20% to 25% on pool-priced tokens to fund the pause window).
2. Full close at mark. A penalty of 1.0% of notional (current parameter) is taken, never exceeding remaining equity.
3. The penalty splits (current parameters): 20% to the keeper (with a small floor so liquidating dust always pays gas), 40% to the LP vault, 40% to the insurance fund.
4. **Remaining equity returns to the trader.** THE PIT follows the dYdX fairness model: liquidation costs a bounded penalty, not everything you had left.
5. If the position gapped through its margin, the vault absorbs the loss at mark and claims the shortfall from the insurance fund (target size: 3% of open notional, current parameter). If the fund is exhausted, bounded auto-deleveraging closes ranked opposite-side winners at the bankruptcy price, so conservation holds with zero uncovered vault outflow. Socialized loss beyond reserves is impossible while the Section 4.3 invariant holds, because vault outflow per market is pre-capped.

A blunt backstop sits above all of it: if vault NAV draws down more than 10% in 24 hours (current parameter), all pool-priced markets flip to close-only pending review. Cheap, dumb, effective.

SECTION 06

THE PLP VAULT: BE THE HOUSE

6.1 Model

PLP is an ERC-4626 vault holding USDG. Depositors mint shares at NAV and become the counterparty to all net open interest. The design goal, stated plainly: the vault is the house, the house carries real risk, and the house is paid real revenue for it, not emissions.

6.2 What the vault earns (current parameters)

REVENUE STREAM	MECHANISM
Trade-fee carve	20% of every open and close fee routes directly to vault NAV as one of five immutable fee recipients
Liquidation share	40% of every liquidation penalty
Funding residual	The net-skew funding imbalance, continuously
Borrow fees	100% of the vol-scaled borrow fee; both sides pay by reserved capacity
Vol surcharge	100% of the vol-scaled open-fee surcharge (Section 6.3)
Trader net losses	The vault is the counterparty; trader losses are vault gains, bounded symmetrically by the payout caps
\$PIT incentives	A liquidity-mining tranche streams to staked PLP as a bootstrap supplement, not the yield thesis

The fee split is immutable at deploy (no setter exists), a deliberate hardening: fee redirection by a compromised or malicious owner is structurally impossible, and the vault's revenue share cannot be quietly diverted later.

6.3 Pricing the gamma the vault sells: convexity charged twice

A capped-payout counterparty vault is structurally short convexity: a trader running a delta-neutral straddle across both sides holds truncated downside and capped-but-large upside, which is positive-EV on a big enough move if the option is free. THE PIT prices the option instead of pretending it is not one, and it prices it at both moments a straddle can be assembled.

At open (the spike chaser):

- **Volatility-scaled open surcharge.** The open fee gains a surcharge proportional to recent realized deviation (reusing the oracle's own spot-versus-TWAP measurement; no new oracle surface). The surcharge is credited 100% to the vault: it is the premium on the option the vault just wrote.
- **Tighter fresh-market caps.** New listings, where information asymmetry is highest, ramp at 1% of TVL per day over 14 days, so the convexity harvest cannot scale where it is cheapest.
- **Vol-scaled cap discount.** During a volatility spike, per-market payout capacity shrinks (never below half, and closes and liquidations are never blocked), throttling the harvest exactly when it is most profitable.

While holding (the patient straddle):

- **Volatility-scaled borrow fee, both sides pay.** A straddle opened in calm and held into the storm pays for the storm anyway: the borrow rate scales with realized volatility while the position is open, so the winning leg's capped payout is eaten by the vol-borrow it accrued waiting for the move.

PROOF, FROM REAL-STACK POC RUNS AGAINST THE SHIPPED CONTRACTS

OPEN-INTO-A-SPIKE STRADDLE

+30.20 → **-0.89** USDG / cycle

The vault captures roughly 31.9 USDG per attempted cycle.

PATIENT OPEN-IN-CALM-THEN-HOLD STRADDLE

+387.64 → **-511.62** USDG

The winning leg alone owes roughly 899 USDG of vol-scaled borrow by settlement.

The vault captures the volatility either way; the honest directional trader in a calm market still pays close to the base fee. (Signs from the attacker's seat: positive was profit before the fix, negative is what the strategy loses now.)

6.4 NAV, deposits, withdrawals

NAV marks aggregate trader PnL continuously with conservative clamping (overstating trader claims and understating NAV is the safe direction for incoming depositors). Deposits are instant at NAV, with a per-epoch cap (current parameter: 20% of TVL per 24 hours) to blunt NAV-timing games. Withdrawals are a two-step queue: request, then claim at the NAV of the next 24-hour epoch boundary, with a per-epoch cap of 25% of TVL pro-rated across requesters. The queue exists so LPs cannot front-run a known incoming loss (the "LPs flee before the hit lands" hole adjacent to every vault squeeze) and so the vault cannot be flash-drained below its obligations. A solvency floor blocks any withdrawal that would push assets below 1.2x total reserved payouts. First-depositor inflation is neutralized with the OpenZeppelin virtual-offset pattern plus dead shares and a minimum deposit.

6.5 What the vault risks, stated plainly

PLP is not a savings account. The vault carries the net PnL of all traders, bounded per market by the reserve caps and globally by an 80% utilization ceiling (current parameter; opens halt beyond it, closes never do). It bears bounded gap risk during liquidation pauses and bleeds to genuinely informed flow like every oracle-quoting vault in the category; fees, funding, vol-scaled borrow, and the volatility surcharge are the compensation, and realized vault edge per market is monitored with timelocked levers to reprice or cap any market that runs negative. Depositors can lose money. Section 11 applies in full.

FEES

7.1 The five-way split

Every open and close fee splits between five immutable recipients (current parameters):

RECIPIENT	SHARE	PURPOSE
Jackpot	25%	Funds the casino counter (Section 8)
Referral	10%	Growth
LP vault	20%	The house's carve
Buyback-and-burn	25%	\$PIT supply reduction (Section 9)
Treasury	20%	Operations, listings, insurance-fund top-ups

7.2 The schedule (current parameters)

FEE	MAJORS	POOL-PRICED MEMECOINS
Open fee	5 bps of notional	10 bps + vol surcharge (to vault)
Close fee	5 bps	10 bps
Funding	skew-based, Section 5.3	same, hotter constants
Borrow	vol-scaled, both sides pay	same, hotter constants
Liquidation penalty	1.0% of notional	1.0%
Vault deposit / withdraw	10 bps to vault NAV	n/a

On pricing posture: THE PIT does not try to out-cheap zero-fee venues on majors, and does not need to. Five bps on majors is at market; ten bps on memecoin perps prices an inventory nobody else on this chain lists at all.

POINTS AND THE CASINO LAYER

THE PIT's brand is a sportsbook crossed with a trading terminal under Vegas neon: the numbers are hard, the room is dark, and the house is honest about being the house.

- **Pit Points mint on fees paid, not volume printed.** This is the anti-wash coupling: wash volume pays full fee freight for its points, so farming points funds the protocol rather than draining it. Points are a non-transferable activity ledger with no monetary value: permanent, tracked lifetime and per 7-day season on an append-only ledger.
- **Pit Boss spins.** Provably fair spins settled through on-chain VRF with a commit-reveal coordinator: the randomness is verifiable, the odds are disclosed, and no operator can steer a draw.
- **The jackpot.** 25% of every trade fee flows to the jackpot counter, paid out through recurring draws with rate-limited funding tied to recent fee inflow (a design hardening from internal audits: a standing pot cannot be farmed by recycling wash fees against it).
- **Seasons.** 7-day epochs with leaderboards. Each season's point totals are recorded permanently and independently.

The casino layer is a retention loop and a brand, not the business model. The business model is the fee, funding, and vault machinery above it, and the two are deliberately coupled through fees so that neither can be gamed without paying the other.

THE \$PIT TOKEN

9.1 Design

- **Fixed supply: 1,000,000,000. No inflation, ever.** Supply only decreases.
- **Buyback-and-burn from real revenue.** The buyback leg of the immutable fee split (25 of every 100 fee units, alongside 20 to treasury) accrues in USDG and is periodically swapped for \$PIT and burned by a small, separately audited, permissionless-triggerable executor with TWAP and slippage guards. That 25/20 routing is the on-chain reality; any treasury policy of steering additional surplus toward the burn would be discretionary, not part of the contract split. More trading means more burning, with the honest caveat stated plainly: a burn is a real supply sink only against a right-sized market cap, the launch is anchored accordingly, and nothing here claims the buyback supports any particular price. The mechanism is funded by revenue that exists, not emissions that dilute.
- **Issuer structure.** \$PIT is issued by an offshore Foundation, distribution is geofenced (residents of restricted jurisdictions, including the United States, United Kingdom, Canada, Switzerland, the UAE, and Singapore, are excluded), and no token sale is conducted through this document.

9.2 Allocation (current parameters)

ALLOCATION	SHARE	NOTES
Public launch	30%	Initial distribution and liquidity; liquid at TGE
Community reserve	50%	Held by the Foundation for retroactive community distributions; hard release ceiling and burn-by-default sunset (see 9.4)
Treasury and community	15%	Governed; growth, listings, operations
Team and contributors	5%	3-month cliff, then linear vesting; fully vested by month 6

9.3 Utility

Utility is mechanical and disclosed, not promissory:

- Staking \$PIT qualifies an account for reduced fee tiers.
- Staking \$PIT applies a disclosed multiplier to jackpot draw weighting.
- Staking \$PIT boosts an account's share of the PLP vault-yield incentive stream while it runs.
- Governance over tunable parameters is contemplated for a later phase.

9.4 On the airdrop, precisely

Pit Points exist, are permanent, and are recorded per season on an append-only ledger. They are non-transferable, carry no monetary value, and confer no entitlement to tokens. The Foundation's community reserve exists to fund retroactive distributions that recognize past protocol usage, and it operates inside two published commitments: a hard release ceiling (no more than 12% of total supply may leave the reserve in any rolling year) and a burn-by-default sunset (any reserve tokens still undistributed four years after TGE are burned). Within that envelope, who earns a distribution and what triggers eligibility remain at the Foundation's sole discretion: no individual size, formula, snapshot, or schedule is announced, and neither this document, the points system, nor any allocation figure above creates an entitlement for any person or points balance. Points are a loyalty and rewards mechanism with in-protocol utility today; they are not a claim on tokens, revenue, or any asset. Any distribution that does occur would be retroactive, non-promissory, geofenced, and subject to counsel review.

Nothing in this section or this document is an offer, solicitation, or promise of tokens, returns, or profit. \$PIT is a utility and governance instrument for the protocol; it is not an investment product, and no statement herein should be read as predicting or promising its value.

SECURITY AND AUDITS

THE PIT treats security as the product, and the process is unusual enough to describe:

- **Test-driven development throughout.** Every mechanism lands with its tests first; the contract suite currently stands at 732 tests green, with fuzzing and a dedicated invariant harness asserting, after every fuzzed action sequence, that per-market aggregates equal the sum of positions (the exact desync class behind the GMX v1 loss) and that conservation is wei-exact on every settlement path.
- **Static analysis in CI.** Slither and Aderyn run on every change.
- **The adversarial gauntlet.** Before any external engagement, THE PIT runs internal multi-wave adversarial audits: for the perp engine, twelve parallel attacker specialists (oracle, reentrancy, vault drain, vault shares, liquidation, margin and ADL, funding, accounting, access control, denial of service, game theory, composition) each attacked the codebase independently, followed by chief consolidation, a fix wave built test-first, an adversarial re-audit of the fix diff by fresh attackers, and a dedicated economics re-audit of the repriced fee and convexity machinery. Headline findings: no drain, no fund lock, no reserve desync, reentrancy posture sound, and conservation proven wei-exact across every path, with the payout-cap-and-reserve-cap invariant holding throughout. The process also surfaced and fixed real issues (among them: freezing the per-market cap snapshot at listing, hardening the drawdown circuit against griefing, grandfathering maintenance margins for open positions, correcting ADL accounting, and bounding ADL gas), and, notably, the LP-economics findings that produced the vault revenue curve in Section 6 and the two-way convexity pricing proven in Section 6.3: the audit did not just harden the code, it repriced the house.
- **Convergent findings are taken seriously.** When four independent attackers find the same issue, it ships in the next fix wave regardless of severity label.
- **External audit before mainnet value.** The internal gauntlet is a filter, not a substitute. A professional external audit is planned prior to launch, and zero funds are accepted until it lands. Then a staged rollout: fork live-fire replays of the historical attack scenarios (the JELLY pump, the Drift listing, an October-2025-style cascade) each required to show attacker EV below zero and insurance-fund survival; then capped-TVL guarded launch; then progressive cap raises.
- **Bug bounty** at launch, scaled to TVL.
- **Deployment invariants** are documented and checked, including that the collateral asset remains hookless, non-blacklisting, and non-upgradeable into either property.

RISK DISCLOSURES

Trading leveraged perpetual futures is high risk. Participation in THE PIT, as a trader, liquidity provider, or token holder, can result in the total loss of funds. In particular:

- **Trader risk.** Leverage amplifies losses; a position's entire margin can be lost, including through liquidation, funding accrual, gap moves during oracle pauses, and auto-deleveraging of profitable positions at bankruptcy prices in extreme scenarios.
- **LP risk.** PLP holders are the counterparty to traders and can lose value when traders win, during gap events, and through sustained adverse selection. Caps and floors bound but do not eliminate loss. Withdrawals are queued and rate-limited by design.
- **Smart-contract risk.** Audited code can still fail. Invariants can hold in every test and still meet an untested reality.
- **Oracle and market risk.** The oracle stack is manipulation-resistant, not manipulation-proof; degraded states pause parts of the protocol by design, and pauses themselves carry gap risk.
- **Chain risk.** THE PIT inherits the security, liveness, and sequencer behavior of Robinhood Chain, which it does not control.
- **Regulatory risk.** The legal treatment of perpetual futures, gamified trading, and protocol tokens is unsettled and varies by jurisdiction.
- **Parameter risk.** Figures marked "current parameters" are design-stage values subject to tuning before and after launch through timelocked governance.

Access restrictions. THE PIT is not offered to persons in restricted jurisdictions, including the United States, United Kingdom, Canada, Switzerland, the United Arab Emirates, and Singapore. Geofencing applies to the application and to any token distribution. Circumventing access restrictions is prohibited. Nothing in this document constitutes financial, investment, legal, or tax advice, or an offer to sell or solicitation to buy any security or financial instrument, in any jurisdiction.

ROADMAP

PHASE	CONTENTS
Foundations COMPLETE	Oracle stack (tiered router, breakers, cost-to-move), points, jackpot, VRF casino layer, timelock and pause infrastructure; shipped and internally audited
Perp engine COMPLETE, MERGED	Engine, PLP vault, insurance fund, risk config, and the LP-economics upgrade (vault fee carve, liquidation share, two-way volatility-priced convexity) built, merged, and internally audited across the twelve-attacker wave, fix waves, adversarial re-audit, and economics re-audit; 732 tests green
Live-fire	Fork replays of historical attacks (JELLY, Drift, cascade scenarios) against launch parameters; each must show attacker EV below zero
External audit + guarded launch	Professional audit, bug bounty, capped-TVL mainnet launch on Robinhood Chain, majors plus gated memecoin tiers, progressive cap raises; zero funds accepted until the audit lands
Scale	Broader memecoin listings as cost-to-move data seasons, partial liquidations for large positions, \$PIT launch artifacts (token, buyback executor, staking, distribution claims) gated on counsel and external audit
Beyond	Governance activation, cross-market products, deeper casino seasons

CLOSING

Every dead perp venue died the same way: it paid out more than the price cost to move. THE PIT is the first venue built so that inequality can never flip: payouts capped per position, reserves capped per market below manipulation cost, liquidations that pause when prices lie, a listing gate that refuses the assets that killed the others, no admin path to a price, convexity priced at open and while holding so the vault is paid for the option it writes, and a house that is paid real revenue for the real risk it carries, with every claim above enforced in code, tested to wei-exactness across 732 green tests, and attacked by design before anyone else gets the chance.

CLOSING LINE

The pit is open. The house is honest. The math is the bouncer.

THE PIT : ROBINHOOD CHAIN : ALL FIGURES MARKED "CURRENT PARAMETERS" ARE DESIGN-STAGE VALUES SUBJECT TO CHANGE. SIMULATED / PRE-LAUNCH: NO FUNDS ARE ACCEPTED TODAY. THIS DOCUMENT IS INFORMATIONAL ONLY AND IS NOT AN OFFER OR SOLICITATION OF ANY KIND.